

**SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA**

Department 19, Honorable Theodore C. Zayner Presiding

Maggie Castellon, Courtroom Clerk
191 North First Street, San Jose, CA95113
Telephone: 408.882.2310

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LAW AND MOTION TENTATIVE RULINGS

**DATE: June 10, 2026 TIME: 1:30 P.M.
PREVAILING PARTY SHALL PREPARE THE ORDER
UNLESS OTHERWISE STATED (SEE [RULE OF COURT 3.1312](#))**

LINE #	CASE #	CASE TITLE	RULING
LINE 1	22CV407813	Garcia v. DHL Express (USA), Inc. (Class Action)	See Line 1 for tentative ruling.
LINE 2	22CV409235	Jacobs v. Transpak, Inc. (Class Action)	See Line 2 for tentative ruling.
LINE 3	24CV431718	State of California, ex rel. Joshua Leichtberg, M.D. vs CONCENTRA INC. et al	See Line 3 for tentative ruling.
LINE 4	24CV445484	Sandoval-Orozco v. Northwest Landscape Maintenance Company (Class Action)	See Line 4 for tentative ruling.
LINE 5	25CV471132	Jefferson Capital Systems LLC vs Aimee Sanders	VACATED as MOOT per filing of Amended Answer 5/28/26
LINE 6			
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Calendar Line 1

Case Name: *Garcia v. DHL Express (USA), Inc.*
Case No.: 22CV407813

This is a putative class and representative action arising from alleged wage and hour violations. The parties have reached a settlement, and the Court has granted Plaintiff's motion for preliminary approval of the settlement. Before the Court is Plaintiff's motion for final approval of the settlement. As discussed below, the Court GRANTS the motion and sets a compliance hearing for March 10, 2027 at 2:30 p.m. in Department 11.

I. Legal Standard

"In general, questions whether a settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court's broad discretion." (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234-235, disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.) The trial court is free to engage in a balancing and weighing of factors depending on the circumstances of each case. (*Id.* at p. 245.) The most important factor is the strength of the plaintiffs' case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130.)

Labor Code section 2699, subdivision (1)(2) provides that "[t]he superior court shall review and approve any settlement of any civil action filed pursuant to" the Private Attorneys General Act ("PAGA"). The trial court must "determine independently whether a PAGA settlement is fair and reasonable," to protect "the interests of the public and the LWDA in the enforcement of state labor laws." (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76-77.) A PAGA settlement may be substantially discounted, and courts often exercise their discretion to award PAGA penalties below the statutory maximum. (*Carrington v. Starbucks Corp.* (2018) 30 Cal.App.5th 504, 529; *Amaral v. Cintas Corp. No. 2* (2008) 163 Cal.App.4th 1157, 1213.)

II. Terms and Administration of Settlement

A. Settlement Terms

This case has been settled on behalf of the following class:

All current and former non-exempt employees employed by Defendant Exel Inc. dba DHL Supply Chain (USA) in California at any time during the Class Period [June 1, 2020, through August 1, 2024]. This definition excludes the employees who meet all of the following conditions: (1) were hired by Defendant prior to 2015; and (2) who worked during the Class Period on or after December 15, 2021.

(Declaration of Shaun Setareh in Support of Motion for Preliminary Approval, Ex. 1 (“Agreement”), ¶¶ 6(e), 6(h).) The settlement includes a subset group of PAGA Employees, defined as: “all current and former non-exempt employees employed by Defendant Exel Inc. dba DHL Supply Chain (USA) in California at any time during the PAGA Period [December 6, 2021, through August 1, 2024].” (*Id.* at ¶¶ 6(z), 6(bb).)

Defendant will pay a gross settlement amount of \$4,947,000, and this amount includes: attorney fees of up to one-third of the gross settlement amount (\$1,649,000); litigation costs not to exceed \$35,000; a PAGA penalties allocation of \$250,000 (75 percent of which will be paid to the LWDA and 25 percent of which will be paid to PAGA Employees as individual PAGA payments); a service payment of up to \$10,000 to Plaintiff; and settlement administration costs up to \$43,000. (Mot., p. 1; Agreement, ¶¶ 10-13.) The net settlement amount will be distributed to participating Class Members on a pro-rata basis according to the number of workweeks worked during the Class Period, and individual PAGA payments will be distributed according to the number of workweeks worked during the PAGA Period.

(Agreement, ¶¶ 14-15.) The parties propose Simpluris, Inc. (“Simpluris”) as settlement administrator, after receiving multiple bids. (Setareh Decl., ¶ 24; Agreement, ¶ 6(kk).) The Court approves and appoints Simpluris as settlement administrator. The Agreement provides that any funds from uncashed settlement checks will be transmitted “to a mutually agreeable *cy pres* beneficiary subject to court approval.” (Agreement, ¶ 62(b).) Plaintiff’s counsel states that the parties propose the State Bar Justice Gap Fund as the *cy pres* recipient (Setareh Decl., ¶ 27.) The Court approves of this designation.

In exchange for the settlement, the Class Members agree to release Defendant and related entities and persons from “all claims, actions, or cause of action alleged in the Complaint or that could have been alleged based upon the facts alleged in the Complaint, arising during the Class Period” (Agreement, ¶¶ 6(hh), 6(ff), 30.) PAGA Employees will be deemed to release Defendant and related entities and persons “all claims for civil penalties under the Private Attorneys General Act, California Labor Code section 2698, et seq. that were alleged in the PAGA Notice, the Amended PAGA Notice, and Complaint in the Action or that reasonably could have been alleged based on the factual allegations in the PAGA Notice, the Amended PAGA Notice, and Complaint in the Action, arising during the PAGA Period” (*Id.* at ¶¶ 6(hh), 6(gg), 31.) The release provisions are appropriately tailored to the factual allegations of the operative pleading. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 538.)

B. Settlement Administration

In its order granting Plaintiff’s motion for preliminary approval, the Court approved Simpluris as settlement administrator. On February 21, 2026, Defendant delivered class data to Simpluris, and the Class List contained data with 10,840 Class Members, 7,943 of whom are Aggrieved Employees. (Declaration of Bentley Conn of Simpluris (“Conn Decl.”) ¶ 5.) On February 19, 2026, Simpluris mailed Class Notices to the 10,840 individuals identified as Class Members. (*Id.* at ¶ 9 and Ex. A.) The deadline to request an exclusion, submit a written objection, or submit a dispute was April 21, 2026. (*Id.* at ¶ 14.) As of the date of Mr. Conn’s declaration, May 6, 2026, Simpluris had received three requests for exclusion, one written objection, and one workweek dispute. (*Id.* at ¶¶ 15 –17, Ex. B and C.) Simpluris estimates the average individual settlement share will be approximately \$275.31. (*Id.* at ¶ 20.) The notice process has now been completed.

At preliminary approval, the Court found the settlement to be fair and reasonable. As noted above, one Class Member submitted a written objection as part of the notice process. (Conn Decl., Ex. C.) The Court has reviewed the contents of the written objection and has determined that the objection is directed at the objector’s various personal grievances with the

employer rather than at the fairness of the class and representative action settlement now before the Court. Thus, the written objection provides no reason for the Court to deviate from its prior finding that the settlement is fair and reasonable. Accordingly, the Court finds that the settlement is fair and reasonable for purposes of final approval.

III. Service Award, Attorney Fees and Costs

Plaintiff seeks a service award of \$10,000. Plaintiff has provided a declaration describing his participation in this action and his understanding of his responsibilities as class representative. The Court finds that a service award is warranted and the amount requested is reasonable. Accordingly, the service award is approved in the amount requested.

Plaintiff's counsel seeks an attorney fee award of \$1,649,000 (one third of the gross settlement amount). (Memorandum, pp. 15:15–21:10; Declaration of Shaun Setareh in Support of Motion for Final Approval (“Setareh Decl.”) ¶¶ 28–36.) Plaintiff's counsel represents that the lodestar for this action is \$637,873, based on 653.8 hours billed at \$250–1,150 per hour. (Setareh Decl., ¶ 37.) This results in a multiplier of 2.6, which is within the range of multipliers found to be reasonable by California courts. The benefits achieved by the settlement justify an award of attorney fees to class counsel. Accordingly, the Court approves an attorney fee award in the requested amount.

Plaintiff's counsel requests reimbursement of litigation costs in the amount of \$13,098.24 and provides an itemized list in support. (Memorandum, p.21:11–20; Setareh Decl., ¶ 28 and Ex. 2.) The Court approves reimbursement of litigation costs in the requested amount. Settlement administration costs are likewise approved in the requested amount of \$40,585. (Conn Decl., ¶ 19.)

IV. Conclusion

The Court GRANTS the motion for final approval of the settlement and sets a compliance hearing for March 10, 2027 at 2:30 p.m. in Department 11.

Plaintiff shall prepare the order in accordance with California Rules of Court, rule 3.1312.

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Calendar Line 2

Case Name: *Jacobs v. TransPak, Inc.*
Case No.: 22CV409235

Before the Court is the Petition for Coordination filed by Petitioner Ricardo Villarreal Diaz. The petition seeks to coordinate five wage and hour actions brought by current and former employees against TransPak, Inc. The actions are currently pending in three separate superior courts, and the petition is unopposed. As discussed below, the Court GRANTS the petition for coordination.

I. Background

A. Coordination Proceedings

Petitioner Ricardo Villarreal Diaz filed the Petition for Coordination and Application for Immediate Stay on March 11, 2026. The Judicial Council assigned JCCP No. 5453, titled “TRANSPAK WAGE AND HOUR CASES,” on April 15, 2026. (JCC Letter, April 15, 2026.) The coordination motion judge was assigned by order dated April 28, 2026. (Notice of Order Assigning Coordination Motion Judge, filed May 5, 2026.) The Court set the coordination hearing and stayed all included actions pending that hearing by order dated May 21, 2026. (Notice and Order filed May 27, 2026, Ex. A.)

B. The Included Actions

The petition seeks to coordinate the following five actions. (Petition at pp. 1–2; Memorandum at p. 8.)

1. Villarreal Diaz PAGA Action

Villarreal Diaz v. TransPak, Inc. is PAGA representative action filed on December 12, 2025, in Alameda County Superior Court, Case No. 25CV159503. (Washington Decl., ¶¶ 3–8, Ex. A–B.) Petitioner submitted a notice to the Labor and Workforce Development Agency on

October 8, 2025, before filing his complaint in December. The complaint asserts nine Labor Code violations as a representative PAGA action and has not been deemed complex.

2. Jacobs Class Action

Jacobs v. TransPak, Inc. is a class action filed on December 29, 2022, in Santa Clara County Superior Court, Case No. 22CV409235. (Washington Decl., ¶¶ 9–21, Ex. C–M.) Plaintiff Macie Jacobs alleges nine Labor Code violations, and the Court deemed the action complex on January 11, 2023. On June 26, 2025, the Court granted TransPak’s motion to compel arbitration, dismissed the class claims, and stayed the action pending arbitration of Jacobs’s individual claims. (*Id.* at ¶ 18, Ex. L.) Jacobs has demanded arbitration before the American Arbitration Association, with an arbitration hearing set for December 1–4, 2026. (*Id.* at ¶ 19, Ex. M.) A further case management conference is set for January 13, 2027. (*Id.* at ¶¶ 19–20, Ex. M.)

3. Velazquez PAGA Action

Velazquez v. TransPak, Inc. is a PAGA representative action filed on August 11, 2023, in Alameda County Superior Court, Case No. 23CV040507. (Washington Decl., ¶¶ 22–40, Ex. N–Z, 1–4.) The Alameda court deemed the action non-complex on September 12, 2023. (*Id.* at ¶ 23, Ex. O.) The court denied TransPak’s motion to compel arbitration on February 4, 2025. (*Id.* at ¶ 36, Ex. 2.) TransPak filed a notice of appeal from that ruling on February 25, 2025. (*Id.* at ¶ 37, Ex. 3.) Trial is set for June 7, 2027. (*Id.* at ¶ 40.)

4. Vilorio Class and PAGA Action

Viloria v. TransPak, Inc. is a class and PAGA representative action filed on September 5, 2023, in San Joaquin Superior Court, Case No. STK-CV-UOE-2023-9508. (Washington Decl., ¶¶ 41–50, Ex. 5–11.) The action is labeled complex, and an alternative dispute resolution hearing is set for April 23, 2026. (*Id.* at ¶¶ 44, 48, Ex. 8.)

5. Gomez Class and PAGA Action

Gomez v. TransPak, Inc. is a class and PAGA representative action filed on February 20, 2024, in Santa Clara County Superior Court. Case No. 24CV431223. (Washington Decl., ¶¶ 51– 57, Ex. 12–16.) The action has been deemed complex. (*Id.* at ¶ 52, Ex. 13.)

II. Legal Standard

California Rules of Court, rules 3.501 through 3.550 provide for the coordination of complex actions. Rule 3.400(a) defines a “complex case” as “an action that requires exceptional judicial management to avoid placing unnecessary burdens on the court or the litigants and to expedite the case, keep costs reasonable, and promote effective decision making by the court, the parties, and counsel.” In deciding whether an action is a complex case under Rule 3.400(a), the court must consider, among other things, whether the action is likely to involve:

- (1) Numerous pretrial motions raising difficult or novel legal issues that will be time-consuming to resolve;
- (2) Management of a large number of witnesses or a substantial amount of documentary evidence;
- (3) Management of a large number of separately represented parties;
- (4) Coordination with related actions pending in one or more courts in other counties, states, or countries, or in a federal court; or
- (5) Substantial postjudgment judicial supervision.

(California Rules of Court, rule 3.400(b).)

“Coordination of civil actions sharing a common question of fact or law is appropriate if one judge hearing all of the actions for all purposes in a selected site or sites will promote the ends of justice taking into account” the following factors: “whether the common question of fact or law is predominating and significant to the litigation; the convenience of parties, witnesses, and counsel; the relative development of the actions and the work product of counsel; the efficient utilization of judicial facilities and manpower; the calendar of the courts; the disadvantages of duplicative and inconsistent rulings, orders, or judgments; and, the likelihood of settlement of the actions without further litigation should coordination be denied.” (Code Civ. Proc., § 404.1 (“Section 404.1”); see also California Rules of Court, rule 3.521 [setting forth the requirements for a petition for coordination].)

The trial court exercises its discretion in weighing and balancing these factors to determine whether coordination best serves the ends of justice in a particular case. (*Pesses v. Superior Court (Pacific Southwest Airlines)* (1980) 107 Cal.App.3d 117, 125-126; *McGahn Med. Corp. v. Superior Court* (1992) 11 Cal.App.4th 804, 812.)

III. Discussion

A. The Actions are Complex

Petitioner first argues that the actions are complex and eligible for coordination. (Memorandum, pp. 20–22.) Three of the five actions have already been treated as complex by the courts in which they are pending. The remaining two actions are the *Villarreal Diaz* action, which has not been deemed complex, and the *Velazquez* action, which has been deemed non-complex. A prior complexity determination by a trial court does not bind the coordination motion judge. (Cal. Rules of Court, rules 3.400, 3.501(c).)

Here, the Court finds that all the included actions are complex. Both the *Villarreal Diaz* and *Velazquez* actions are representative PAGA actions brought on behalf of numerous aggrieved employees, with the *Velazquez* action asserting nineteen Labor Code claims. These actions will require management of numerous witnesses and a substantial amount of documentary evidence. They also present interrelated arbitration and standing questions that have already been the subject of motion practice and an appeal.

Accordingly, the Court finds that all five included actions are complex within the meaning of rule 3.400 and therefore eligible for coordination.

B. The Actions Should be Coordinated

Petitioner contends that coordination is proper and will promote the ends of justice, pointing to the seven factors set forth in Code of Civil Procedure section 404.1: (1) whether the common questions of fact or law predominates and is significant to the litigation; (2) the convenience of the parties, witnesses, and counsel; (3) the relative development of the actions and the work product of counsel; (4) the efficient utilization of judicial facilities and

manpower; (5) the calendar of the courts; (6) the disadvantages of duplicative and inconsistent rulings, orders, or judgments; and (7) the likelihood of settlement of the actions without further litigation should coordination be denied.

The Court agrees that analysis under the pertinent factors supports coordination in this instance. All five actions arise from the same defendant's wage and hour policies and practices. Common factual issues include TransPak's timekeeping, meal and rest break policies, overtime calculations, and compensation practices. Common legal issues include Labor Code compliance, class certification standards, PAGA manageability and penalty calculations, and statute of limitations defenses. The actions are pending in three counties before five different judges. Under such circumstances, duplicative discovery, motion practice, and potentially inconsistent rulings on identical issues are likely to occur in the absence of coordination.

The "relative development of the actions" factor is neutral in the coordination analysis. The actions are at varying stages: *Jacobs* is staying pending arbitration; *Velazquez* is the most developed and is subject to a pending appeal; *Villarreal Diaz* was filed relatively recently in December 2025. While the *Jacobs* action's earlier arbitration motion was resolved by Court order, that procedural difference does not eliminate the factual and legal issues that are common across all the actions. Furthermore, the differing postures in the cases do not weigh against coordination here because the parties have already been litigating and attempting to resolve the actions on a coordinated basis. (See Washington Decl., ¶¶ 38, 55, Ex. 4, 16 [joint statements filed in the *Velazquez* and *Gomez* actions indicate that the parties in *Jacobs*, *Velazquez*, *Viloria*, and *Gomez* have agreed to global mediation with Hon. Ronald Sabraw (Ret.)].)

In sum, the petition meets the criteria for coordination under Code of Civil Procedure section 404.1. The actions are sufficiently complex, and common questions predominate. Coordination will promote convenience, judicial economy, and ends of justice. Considerations potentially weighing against coordination (including the presence of an individual defendant in one action and the differing procedural postures) are outweighed by the substantial overlap in claims, parties, and discovery needs, and the significant risk of inconsistent rulings absent coordination.

Accordingly, the petition for coordination is GRANTED.

IV. Conclusion

For the reasons stated, the Court rules as follows.

1. The Court finds that each of the five included actions is complex. (Cal. Rules of Court, rule 3.400.)
2. The Petition for Coordination is GRANTED. (Code Civ. Proc., §§ 404.1, 404.3.)
3. The Court recommends the Superior Court of California, County of Santa Clara, as the site of the coordination proceedings. (Cal. Rules of Court, rule 3.530.)
4. The Court selects the Sixth Appellate District as the reviewing court. (Cal. Rules of Court, rule 3.505(a).)
5. The STAY of the included actions is CONTINUED pending assignment of a coordination trial judge. (Code Civ. Proc., § 404.5; Cal. Rules of Court, rule 3.515.)
6. Petitioner shall transmit a copy of this decision and order to the Chair of the Judicial Council and shall serve a copy on each appearing party and on the clerk of each court in which an included action is pending. (Cal. Rules of Court, rules 3.511, 3.524.)

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Calendar Line 3

Case Name: *State of California, ex rel. Joshua Leichtberg, M.D. v. Concentra Inc. et al.*
Case No.: 24CV431718

This qui tam action arises from an alleged scheme to submit false workers' compensation insurance claims. Before the Court is Defendants' demurrer to the First Amended Complaint. As discussed below, the Court SUSTAINS the demurrer in its entirety and grants 20 days' leave to amend.

I. Background

Plaintiff-Relator Dr. Joshua Leichtberg is a physician who worked at a Concentra-branded clinic for approximately seven months in 2023. (FAC, ¶ 15.) He alleges a scheme to submit false workers' compensation insurance claims in violation of the California Insurance Frauds Prevention Act ("CIFPA"). He also alleges that Defendants retaliated against him for objecting. After the California Department of Insurance ("CDI") declined to intervene, the Court unsealed the action and authorized service.

Relator alleges that Concentra, through its "Clinical Model," required physicians employed by Defendant Occupational Health Centers of California to order mandatory rechecks within two days of initial visits and physical therapy referrals for nearly every patient, regardless of medical necessity under the Medical Treatment Utilization Schedule ("MTUS"). (See Opposition, pp. 3–11 [summary of FAC's allegations].) Concentra allegedly enforced these requirements through bonuses and "Quality Bonus" payments tied to ordering the services, as well as threats of demotion or termination. (*Id.* at p. 7:1–15.) Non-physician providers allegedly treated patients without required supervision, and false representations of supervision were made to insurers. (*Id.* at pp. 8:20–9:7.) Dr. Leichtberg internally objected to the policies as unlawful and unethical. (FAC, ¶ 165.) Concentra withdrew his pending promotion to Clinic Medical Director and terminated him through Dr. Kathy T. Le for failure to follow the Clinical Model. (*Id.* at ¶¶ 168–171.)

The FAC pleads four causes of action against defendants Concentra Inc., Concentra Health Services, Inc., Occupational Health Centers of California, Concentra Group Holdings Parent, Inc., Select Medical Corporation, and Kathy T. Le, M.D. (collectively, “Defendants”). The first is for CIFPA violations under Insurance Code section 1871.7(a) and (b), brought on behalf of the State. (FAC, ¶¶ 200–212.) The second is for CIFPA retaliation under section 1871.7(k). (*Id.* at ¶¶ 213–219.) The third is for retaliation under Labor Code section 1102.5. (*Id.* at ¶¶ 220–225.) The fourth is for wrongful termination in violation of public policy. (*Id.* at ¶¶ 226–230.) Defendants demur to each cause of action, generally denying any fraud and characterizing the FAC’s allegations as a clinical disagreement over treatment.

II. Requests for Judicial Notice

Defendants seek judicial notice of the Delaware corporate records showing that Concentra merged into Concentra Health Services, Inc., effective November 12, 2024. (RJN, Ex. A.) The records are proper subjects of judicial notice as official government records that are not reasonably subject to dispute. (Evid. Code, § 452(c), (h).) The request for judicial notice is GRANTED. The Court takes notice of the existence of the records and the corporate status indicated. The Court does not, on this record, resolve any dispute regarding the legal effect of the merger.

Relator seeks judicial notice of Concentra Group Holdings Parent, Inc.’s Form 10-Q dated August 7, 2025, relied upon by both parties. (RJN, Ex. 1.) The request is GRANTED; the Court takes judicial notice of the existence and contents of the public filing, but not the truth of any disputed matter. (Evid. Code, § 452(h).)

Relator also seeks judicial notice of a Los Angeles Superior Court receivership order. (RJN, Ex. 2.) The request is GRANTED to the extent that the Court takes notice of the existence of the order. (Evid. Code, § 452(d).) The unpublished trial-court order is not binding authority.

III. Legal Standard

A demurrer tests only the legal sufficiency of a pleading, and the court accepts well-pleaded material facts as true, giving the complaint a reasonable interpretation. (Code Civ. Proc., § 430.10, subd. (e); *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) A plaintiff must plead fraud with particularity. (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645.) Leave to amend is liberally granted unless amendment would be futile. (*City of Stockton v. Superior Court* (2007) 42 Cal.4th 730, 747.)

IV. First Cause of Action – Violation of CIFPA (Ins. Code, § 1871.7(a) & (b))

The first cause of action is for violation of CIFPA, California Insurance Code section 1871.7(a) and (b), and California Penal Code section 550(a) and (b). CIFPA imposes liability for conduct that violates Penal Code section 550, which prohibits knowingly presenting false or fraudulent insurance claims. Section 550 is not limited to express misstatements and reaches conduct that is in some manner deceitful. Relator sets forth various theories to establish falsity. The Court addresses these theories briefly before turning to the two elements that control in this case: materiality and particularity.

A. Relators’ Theories

1. Corporate Practice of Medicine

Relator alleges that a lay enterprise controlled a physician-owned practice through a mandatory “Clinical Model,” and that the resulting claims are deceptive. (FAC ¶¶ 83–90, 117–126; Opposition, pp. 12:11–19:13.) Defendants argue that a corporate-practice violation does not by itself make a claim false, and that CIFPA liability requires the structural fraud found in *People ex rel. Monterey Mushrooms, Inc. v. Thompson* (2006) 136 Cal.App.4th 24 (*Monterey Mushrooms*), and *People ex rel. Allstate Ins. Co. v. Discovery Radiology Physicians, P.C.* (2023) 94 Cal.App.5th 521 (*Discovery Radiology*). (Memorandum, pp. 7:16–13:18; Reply 2:2–9:7.)

The Court rejects Defendants’ premise that CIFPA liability requires a fabricated billing entity. *Discovery Radiology* frames the inquiry as whether a nonphysician exercised undue

control over a medical practice. (See Opposition, pp. 14:11–15:19, quoting *Discovery Radiology*, 94 Cal.App.5th at 538.) The theory is legally cognizable. But the inquiry turns on the contractual terms and the totality of the circumstances. (Reply, pp. 2:2–4:15, citing *Epic Medical Management, LLC v. Paquette* (2015) 244 Cal.App.4th 504.) The FAC pleads no contractual terms ceding clinical authority to a lay entity, and Relator argues control exists regardless of the contract terms. The FAC also alleges that physicians enforced the Clinical Model. (FAC, ¶¶ 117, 126.) The theory survives as a matter of law, but its sufficiency depends on the particularity and materiality analysis below.

2. Kickbacks and Statutory Safe Harbor

Relator alleges that the “Quality Bonus” program paid physicians to refer patients to in-house physical therapy. (FAC ¶¶ 103–106, 203–208; Opposition, pp. 19–20.) Defendants invoke a safe harbor for ancillary services provided within a physician’s office. (Memorandum, pp. 13:19–15:15.) The parties dispute whether the safe harbor in Business and Professions Code section 650.02(f) reaches the anti-kickback rule in section 650(a) or only the self-referral prohibition in section 650.01. (Opposition, p. 20:15–21; Reply, pp. 16:19–19:7.) The Court does not resolve that statutory question at the pleading stage. The safe harbor is not so plainly dispositive that it defeats the theory at this time. The separate “steerer” theory under section 1871.7(a) is unsupported by any cited California authority extending the statute to internal clinical referrals.

3. Medical Necessity, Upcoding, and Supervision

Relator’s remaining theories do not independently state a claim on the current pleading. The medical necessity theory rests on departures from the advisory MTUS guidelines. (Opposition, pp. 18:25–19:9.) A departure from advisory guidelines is not, without more, a misrepresentation. (Memorandum, pp. 15:16–17:1.) The upcoding theory identifies no claim in which a CPT code misstated the services provided. Neither Patients A–E nor the fifty Exhibit B entries contain a CPT code. (*Id.* at pp. 17:2–18:17.) The supervision theory equates a missing countersignature with a lack of supervision. The Physician Assistant Practice Act does not

require a countersignature unless the practice agreement requires one, and the FAC alleges no such agreement. (Memorandum, pp. 18:18–20:6, citing Bus. & Prof. Code § 3502(c).) Crucially, each theory also fails to connect the alleged conduct to a specific false claim.

B. Materiality and Particularity

Materiality is a required element and is not satisfied by the facts stated in the FAC. A statement is material only if it has a natural tendency to influence the payment decision. (Memorandum, p. 21:13–20; Pen. Code § 550(b).) The FAC pleads materiality on information and belief, alleging only that insurers would not have paid had they known. (FAC, ¶¶ 134, 208, 212.) The FAC identifies no insurer contract, coverage provision, or condition of payment. Therefore, the materiality allegation is conclusory and does not satisfy the particularity required for a fraud claim.

In addition, Defendants persuasively argue that the FAC’s use group pleading does not satisfy the particularity standard that fraud requires. (Memorandum, pp. 4:15–5:18, 20:7–21:20.) The FAC names six legally distinct defendants but pleads nearly all conduct against a collective “Concentra.” (FAC ¶¶ 42–45.) The FAC does not identify which defendant submitted, caused, or directed any particular claim. Exhibit B identifies, in some entries, the insurer billed. It does not identify the submitting defendant. It contains no CPT code. The FAC does not even consistently identify Relator’s own employer. (FAC, ¶¶ 15, 26, 33, 157.)

Relator responds that an insider relator may plead representative examples plus reliable indicia, and that collective allegations are permitted where the details lie within Defendants’ knowledge. (Opposition, pp. 21–22.) Exhibit B supplies dates, injuries, payors, and billed amounts for fifty-five examples. (FAC, ¶¶ 178–201 & Ex. B.) While that is meaningful indicia that claims were submitted, it does not tie any claim to any particular defendant. The FAC does not identify a false statement in any claim. The failure to differentiate among the defendants is itself a defect under California law.

In sum, the Court finds that the first cause of action does not necessarily fail as a matter of law because the corporate-practice and kickback theories are legally cognizable. Nevertheless, the FAC does not plead the claim with the particularity that fraud requires, and it

pleads materiality only in conclusory terms. Because the defects identified in the Defendants' demurrer are primarily pleading defects (concerning particularity, materiality, employer identity, and the content of protected disclosures) they are potentially capable of cure.

Accordingly, the demurrer to the First Cause of Action is SUSTAINED with 20 days' leave to amend. Any amended pleading shall identify which defendant submitted or cause each representative claim, identify the false statement or deceptive feature in each representative claim, and pleading materiality by reference to an identified condition of payment.

V. Remaining Causes of Action

A. Second Cause of Action – CIFPA Retaliation (Ins. Code § 1871.7(k))

The Second Cause of Action is for retaliation for lawful acts in furtherance of CIFPA investigation/action, in violation of California Insurance Code section 1871.7(k). (FAC, ¶¶ 214–218.) The FAC alleges: “[a]s a result of Relator’s reporting, investigating, complaining of, and refusing to comply with or participate in the fraudulent conduct of Defendants, Relator was removed from consideration for a promised promotion and was ultimately discharged by Defendants because of the lawful protected conduct and acts done in furtherance of an action under Cal. Ins. Code. § 1871.7.” (FAC, ¶ 216.)

Section 1871.7(k) protects an employee from adverse action because of lawful acts done in furtherance of an action under section 1871.7. The statute defines that activity as investigation for, initiation of, testimony for, or assistance in an action filed or to be filed under the section. (Memorandum, p. 25:17–24; Reply, p. 16:21 –25.) California Insurance Code section 1871.7(k) provides, in relevant part:

Any employee who is discharged, demoted, suspended, threatened, harassed, or in any other manner discriminated against in the terms and conditions of employment by their employer because of lawful acts done by the employee on behalf of the employee or others in furtherance of an action under this section, including investigation for, initiation of, testimony for, or assistance in, an action filed or to be filed under this section, shall be entitled to all relief necessary to make the employee whole.

Because no California decision interprets subdivision (k), the Court applies the plain text.

Here, the FAC alleges that Relator expressed concerns that the Clinical Model conflicted with his medical judgment. (FAC, ¶¶ 147, 162, 165.) Those allegations describe clinical disagreement; they do not allege that Relator investigated, initiated, or assisted a CIFPA action, or disclosed an intent to do so. (Memorandum, pp. 25:16–27:23; Reply, pp. 16:19–17:16.) Relator’s authorities are general retaliation cases and do not construe section 1871.7(k). The pleaded activity does not satisfy the “in furtherance of an action under this section” element.

Accordingly, the demurrer to the second cause of action is SUSTAINED with 20 days’ leave to amend.

B. Third Cause of Action – Retaliation (Labor Code § 1102.5)

The third cause of action is for wrongful termination in violation of Labor Code section 1102.5. (FAC, ¶¶ 219–225.) Relator alleges Defendants “retaliated against him by removing him from consideration for a promotion and ultimately terminating him for internally reporting that information and for Relator’s refusal to engage in the unlawful acts about which he reported.” (FAC, ¶ 223.)

Section 1102.5(b) protects disclosure of information the employee reasonably believes shows a violation of law. Section 1102.5(c) protects refusal to participate in unlawful activity. (Opposition, pp. 28:16–30:4; Memorandum, pp. 27–30.) A protected disclosure does not require the employee to cite a specific statute. (Opposition, pp. 28–29, citing *Ross v. County of Riverside* (2019) 36 Cal.App.5th 580, 592–593.) A disclosure is protected even if the recipient already knows of the conduct. (Opposition, p. 29, citing *People ex rel. Garcia-Brower v. Kolla’s, Inc.* (2023) 14 Cal.5th 719, 734 (*Kolla’s*) [“a protected disclosure under section 1102.5(b) encompasses reports or complaints of a violation made to an employer or agency even if the recipient already knows of the violation”].)

In this case, however, the FAC alleges that Relator questioned the Clinical Model when it conflicted with his medical judgment. (FAC, ¶ 125; Reply, pp. 17:8–19:7.) That allegation discloses a clinical disagreement. It does not disclose a reasonably believed violation of law. Section 1102.5 does not protect disagreements over discretionary decisions or policy choices.

(Reply, pp. 17:22–18:3, quoting *Kolla's, supra*, 14 Cal.5th at 734 [section 1102.5(b) “excludes from whistleblower protection disclosures that involve only disagreements over discretionary decisions, policy choices, interpersonal dynamic, or other nonactionable issues”].) The Opposition characterizes Relator’s statements as reports of conduct he believed to be insurance fraud. (Opposition, pp. 27:8–28:11.) Those characterizations do not appear in the cited paragraphs of the FAC. (Reply, pp. 18:14–19:2.) A brief cannot supply allegations that the pleading omits.

Accordingly, the demurrer to the third cause of action is SUSTAINED with 20 days’ leave to amend.

C. Fourth Cause of Action – Wrongful Termination in Violation of Public Policy

The fourth cause is wrongful termination in violation of public policy. (FAC, ¶¶ 226 – 232.) The parties agree that this cause of action is derivative of the statutory retaliation claims and that it rises and falls with them. (Memorandum, p. 30; Opposition, p. 30; Reply, p. 18.) Because the Court has sustained the demurrer to the second and third cause of action, the fourth cause of action fails as well and for the same reasons.

Accordingly, the demurrer to the fourth cause of action is SUSTAINED with 20 days’ leave to amend.

VI. Conclusion

The demurrer to the First Amended Complaint is SUSTAINED with 20 days’ leave to amend. Relator shall file and serve any Second Amended Complaint within 20 days of service of the formal order.

The Commissioner of the Department of Insurance declined to intervene but reserved the right to be heard before any dismissal, settlement, or discontinuance. This ruling sustains the demurrer with leave to amend and does not dismiss the action. If the matter proceeds to dismissal, the Commissioner shall receive notice and an opportunity to be heard.

Defendants shall prepare the order in accordance with California Rules of Court, rule 3.1312.

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Case Name: *Sandoval-Orozco v. Northwest Landscape Maintenance Company*
Case No.: 24CV445484

This is a putative class and representative action arising from alleged wage and hour violations. The parties have reached a settlement, and the Court has granted Plaintiff's motion for preliminary approval of the settlement. Before the Court is Plaintiff's motion for final approval of the settlement. As discussed below, the Court GRANTS the motion and sets a compliance hearing for March 10, 2027 at 2:30 p.m. in Department 11.

I. Legal Standard

"In general, questions whether a settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court's broad discretion." (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234-235, disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.) The trial court is free to engage in a balancing and weighing of factors depending on the circumstances of each case. (*Id.* at p. 245.) The most important factor is the strength of the plaintiffs' case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130.)

Labor Code section 2699, subdivision (1)(2) provides that "[t]he superior court shall review and approve any settlement of any civil action filed pursuant to" the Private Attorneys General Act ("PAGA"). The trial court must "determine independently whether a PAGA settlement is fair and reasonable," to protect "the interests of the public and the LWDA in the enforcement of state labor laws." (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76-77.) A PAGA settlement may be substantially discounted, and courts often exercise their discretion to award PAGA penalties below the statutory maximum. (*Carrington v. Starbucks Corp.* (2018) 30 Cal.App.5th 504, 529; *Amaral v. Cintas Corp. No. 2* (2008) 163 Cal.App.4th 1157, 1213.)

II. Terms and Administration of Settlement

A. Settlement Terms

This case has been settled on behalf of the following class:

[N]on-exempt, hourly paid employees who worked for Defendant Northwest Landscape Maintenance Co. in California at any time during the Class Period [August 20, 2020 to August 31, 2024].

(Declaration of Harout Messrelian in Support of Motion for Preliminary Approval, Ex. 1

(“Agreement”), ¶¶ 5, 7.) The settlement includes a subset PAGA class of Aggrieved

Employees, defined as: “all person who worked for Defendant as non-exempt, hourly paid employees in California at any time during the PAGA Period [May 16, 2023 through August 31, 2024].” (*Id.* at ¶¶ 20, 22.)

Defendant will pay a gross settlement amount of \$600,000, and this amount includes: attorney fees of up to 35 percent of the gross settlement amount (\$210,000); litigation costs not to exceed \$15,000; a PAGA penalties allocation of \$30,000 (75 percent of which will be paid to the LWDA and 25 percent of which will be paid to PAGA Employees as individual PAGA payments); a service payment of up to \$10,000 to Plaintiff; and settlement administration costs up to \$6,950. (Motion, pp. 3–4; Agreement, ¶¶ 2, 8, 15, 18, 23, 34, 43.) The net settlement amount will be distributed to participating class members on a pro-rata basis according to the number of workweeks they were employed by Defendant, and individual PAGA payments will be distributed according to the number of pay periods worked. (Agreement, ¶ 45.) The Agreement provides that ILYM Group, Inc. (“ILYM”) will serve as settlement administrator. (*Id.* at ¶ 34.) The Court approves and appoints ILYM as settlement administrator. The Agreement provides that any funds from uncashed settlement checks will be transmitted to Children’s Hospital Los Angeles. (*Id.* at ¶ 62.) The Court approves the *cy pres* designation.

In exchange for the settlement, the class members agree to release Defendant and related entities and persons from “all claims, rights, demands, liabilities, and causes of action, reasonably arising from, or reasonably related to, the same set of operative facts as those set forth in the operative Complaint in the Action during the Class Period[.]” (Agreement, ¶¶ 29, 31.)_Aggrieved Employees will be deemed to release Defendant and related entities and

persons “any and all claims, demands, rights, liabilities and causes of action under the Private Attorneys General Act, California Labor Code §§ 2698, et seq., that were alleged or could reasonably have been alleged based on the same facts alleged in the operative Complaint, the PAGA Notice (and any amendments thereto) and ascertained in the course of the Action, arising during or with respect to the PAGA Period.” (*Id.* at ¶¶ 30, 31.) The release provisions are appropriately tailored to the factual allegations of the operative pleading. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 538.)

B. Administration of Settlement

In its order granting Plaintiff’s motion for preliminary approval, the Court approved ILYM as settlement administrator. On January 22, 2026, Defendant delivered class data to ILYM, and the Class List contained 154 Class Members and 94 Aggrieved Employees. (Declaration of Garvin Brown of ILYM (“Brown Decl.”) ¶ 5.) On February 5, 2026, ILYM mailed Class Notices to all individuals on the Class List. (*Id.* at ¶ 7 and Ex. A.) The deadline to request an exclusion, submit a written objection, or submit a dispute was March 22, 2026. (*Id.* at ¶¶ 11–13.) As of the date of Mr. Brown’s declaration, May 12, 2026, ILYM had received zero requests for exclusion, zero objections, and zero workweek disputes. (*Ibid.*) ILYM estimates the average individual class payment will be approximately \$2,226.39, and the average individual PAGA payment will be approximately \$79.79. (*Id.* at ¶¶ 17, 19.) The notice process has now been completed.

At preliminary approval, the Court found the settlement to be fair and reasonable. Given that there are no objections, it finds no reason to deviate from that finding now. Accordingly, the Court finds that the settlement is fair and reasonable for purposes of final approval.

III. Service Award, Attorney Fees and Costs

Plaintiff seeks a service award of \$10,000. Plaintiff has provided a declaration detailing his participation in this litigation and the risks he undertook by being the named-plaintiff. The

Court finds that a service award is justified and the amount requested is reasonable. The service award is approved in the amount requested.

Plaintiff's counsel seeks an attorney fee award of \$200,000 (one third of the gross settlement amount, and less than the \$210,000 maximum set by the Agreement). (Memorandum, pp. 6:18–15:13; Declaration of Harout Messrelian in Support of Motion for Final Approval, ¶¶ 8–17; Declaration of Maralle Messrelian in Support of Motion for Final Approval, ¶¶ 8–9.) Plaintiff's counsel represents that the lodestar for this action is \$108,975, based on 145.3 hours billed at \$750 per hour. This results in a multiplier of 1.8, which is within the range of multipliers generally approved by California courts. The benefits achieved by the settlement justify an award of attorney fees to class counsel. The Court approves an attorney fee award in the requested amount.

Plaintiff's counsel requests reimbursement of litigation costs in the amount of \$10,185.38 and they provide an itemized list in support. (Memorandum, p. 15:15–23; Declaration of Harout Messrelian in Support of Motion for Final Approval, ¶ 18 and Ex. F.) The Court approves reimbursement of litigation costs in the requested amount. Settlement administration costs are likewise approved in the requested amount of \$6,950. (Brown Decl., ¶ 20 and Ex. B)

IV. Conclusion

The Court GRANTS the motion for final approval of the settlement and sets a compliance hearing for March 10, 2027 at 2:30 p.m. in Department 11.

Plaintiff shall prepare the order in accordance with California Rules of Court, rule 3.1312.

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